Sl. No. 1

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Virtual Hearing)
PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 19.12.2024 AT 01:00 P.M.

TC/CP. Nos.	Present stage of the case	Section/ Rule	Name of Parties
CP(CAA)/7/230/AMR/2023 connected with CA(CAA)/5/230/AMR/2023	For Orders	230	First object Industries Pvt Ltd. (Demerged Company) & First object Agency Pvt Ltd (Resulting Company)

ORDER

Present: Mr. M. Parameswara Reddy, Ld. Counsel for the Petitioner.

Orders pronounced. Accordingly, CP(CAA)/7/230/AMR/2023 is allowed and recorded vide separate sheets.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Mohan & RSN

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI
* * *

CP (CAA)/7/230/AMR/2023
Connected with
CA (CAA)/5/230/AMR/2023

IN THE MATTER OF SECTION 230 TO 232 OF THE COMPANIES ACT, 2013

[Under Sections 230 and 232 of the Companies Act,2013 read with the Companies (Compromise, Arrangement and Amalgamation) Rules, 2016]

And

In the matter of Scheme of Arrangement Between M/s. First Object Industries Private Limited (Demerged Company) and M/s. First Object Agency Private Limited (Resulting Company) and their Respective Shareholders.

In the matter of Scheme of Arrangement Between:

First Object Industries Private Limited,
Incorporated under the Companies Act, 1956,
Having its registered office at #54-20/9-13, 1st Floor,
Hanuman Residency, Sree Nagar Colony,
Vijayawada, Andhra Pradesh – 520007 India,
represented by its Director Mr. Yarlagadda Ramaseshagiri Rao.
...1st Petitioner/Demerged Company

First Object Agency Private Limited,
Incorporated under the provisions of the Companies Act, 2013,
Having its registered office at H.No. 12-468/2/2/107,
My Dream Homes, Mahendraenclave, Kunchanapalli,
Tadepalli, Guntur, Andhra Pradesh – 522501,
Represented by its Director Mr.Chaganti Sagar Chandu Reddy.
...2nd Petitioner/Resulting Company

Date of Order: 19.12.2024

CORAM

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

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Appearance:

For the Petitioners : Mr. V. Venkata Rami Reddy &
Mr. M. Parameswara Reddy, Advocates

For the RD (SER) : Ms. Kusum Yadav, Additional Director

ORDER
(*Per: Bench*)

1. The present Joint Company Petition has been filed by M/s. First Object Industries Private Limited, the Demerged Company (1st Petitioner), and M/s. First Object Agency Private Limited, the Resulting Company (2nd Petitioner), under Sections 230 to 232 of the Companies Act, 2013, along with the relevant provisions of the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016 seeking for sanctioning of the Scheme of Arrangement (the **Scheme** for short) between the respective companies.

2. The registered offices of both the Demerged Company and the Resulting Company are situated in the state of Andhra Pradesh, thereby falling within the jurisdiction of this Tribunal.

3. The Petitioner Companies have jointly filed the first motion application bearing CA(CAA)/5/230/AMR/2023 before this Tribunal, seeking dispensation of the requirement to convene meetings of the Shareholders, Secured Creditors, and Unsecured Creditors of both Petitioner Companies. The first motion application was disposed of vide order[1] dated 21.07.2023, wherein the meetings of Shareholders, Secured Creditors, and Unsecured Creditors of all the Companies were dispensed with, as detailed in the aforementioned order

[1] Page No.127 to 137 of the Petition

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4. Brief facts leading to the filing of the present case are as follows:

4.1 M/s. First Object Industries Private Limited (CIN: U74900AP2008PTC060217), the 1st Petitioner/Demerged Company, was incorporated under the Companies Act in the name and style of **"First Object Private Limited."** Subsequently, its name was changed to **"First Object Industries Private Limited"** upon approval by the Central Government on **06.06.2022**. The authorized share capital of the Demerged Company is Rs.1,00,00,000/-, divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed, and paid-up share capital is Rs.10,00,000/-, divided into 1,00,000 fully paid-up equity shares of Rs.10/- each.

4.2 The main objects of the 1st Petitioner Company are to establish and carry on in India or elsewhere the business to acquire, undertake, promote, run, manage, own, lease, convert, build, commercialize, handle, operate, renovate, construct, maintain, improve, exchange, furnish, recondition, hire, let on hire, develop, consolidate, subdivide & organize, hotels, restaurants, café, rest houses, bars, lodging, house keepers, refreshment rooms, swimming pools, lodges, etc., and to prepare and produce, process, buy, sell, import export, service, wholesale, retail, pack, repack, or otherwise to deal in all kinds of vegetarian foods, non-vegetarian foods, beverages, wines, waters, purveyors, cigarettes, tobacco, soft drinks, ice creams, juices, cosmetics, cloths, provisions, spices, and other allied goods, materials, substances, consumables and preparations connected there to and to undertake design and development of software for computer systems and data communication systems, testing and maintenance, Network management systems, and remote sensing systems and

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testing and maintenance and business of sponge iron material, Ferro manganese, colliery proprietors, coke manufacturers, mines, smelters, engineers, tin plate makers, iron founders, and all or any kind of iron and steel meltors, steel makers, steel manufacturers, galvanizers, deepeners, re rollers, enamels, electroplates and to carry on manufacture, buy, sell, exchange, import, export, distribute and deal in steel and alloy steel, and other allied activities.

4.3 M/s. First Object Agency Private Limited, 2nd Petitioner/ Resulting Company was incorporated as a private limited company on 02.05.2022. The Authorized Share Capital of the 2nd Petitioner Company is Rs.1,00,000/-, divided into 10,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,00,000/-, divided into 10,000 fully paid-up equity shares of Rs.10/- each.

4.4 The main objects of the 2nd Petitioner Company are to carry on in India or elsewhere the business of security services, security guards, body guards and to provide national level guarding services like event security and allied services, industrial security services, personnel security services, cash escort services, electronic & security surveillance, manned guarding, detective services & facility management and to provide a wide range of training programmes under security related training programmes across India in private & public sectors and providing Manpower placement and recruiting, Selecting, Interviewing, Training and Employing all types of executives, Middle Management Staff, Junior Level Staff, Workers, Labourers Skilled / Unskilled required by various Industries and organizations and business of distributors, traders, consignment

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agents, importer and exporters of all kind of educational tools, kits, literature, accessories and Activity of Promoting, Imparting, Launching, Creating, Designing, Adopting Traditional, Formal and Creative Means of Imparting, Inculcating, Disseminating, Diversified Skills, Education Forms and providing raining, Conducting Seminars, Web-Seminars and other allied activities.

5. ***Benefits of the Scheme***[2]:

The demerged business and the remaining business carried on by the Demerged Company have significant potential for growth. The nature of risk and competition involved in each of these units is distinct, and consequently, the demerged business and remaining business are capable of attracting different sets of business leaders, employees, investors, strategic partners, lenders, and other stakeholders. The Board of Directors of the Demerged Company believes that the demerged business and remaining business should be bifurcated into independent entities for each undertaking. The businesses carried out by both the Demerged Company and the Resulting Company are complementary. Therefore, cooperation between the two companies will enhance strategic investments, benefiting the shareholders of both companies and helping investors navigate any exigencies, leading to a more fruitful and successful business in their respective fields.

6. ***Rationale of the Scheme***[3]:.

According to the Petitioner Companies, the Demerged Company is engaged in diverse business activities, including a sanitization services division. The proposed demerger aims to separate this division, along with

[2] At Para 6.2 of Page No.11 of the Petition
[3] At Para 6.1 of Page No.11 of the Petition

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its related assets and liabilities, and merge it with the Resulting Company. This will allow both companies to focus on their core operations and improve market share. The Demerged Company seeks external investment in the sanitization services sector, and the demerger will create a structure conducive to attracting such investment. The Boards of both companies believe this restructuring will benefit shareholders, employees, and other stakeholders, enabling business expansion for both entities.

7. The Board of Directors of both the Petitioner Companies in their respective Board Meetings held on 19.01.2023[4] have unanimously approved the Scheme of Amalgamation between the Transferor Companies and Transferee Company with appointed date as 01.01.2023.

8. It is confirmed that no dues or pending returns are outstanding with regard to the Statutory Authorities concerning the Petitioner Companies.

9. It is confirmed that no investigations or proceedings have been initiated or are currently pending in relation to the Petitioner Companies.

10. As per the section 230 (7) of the Act, the certificate dated 19.04.2023[5] issued by the Statutory Auditors of all the Petitioner Companies RCK & CO, Chartered Accountants, certified that the proposed accounting treatment in the books of the companies as per accounting standard-14, specified in Clause 12 Accounting Treatment is in compliance with the Indian Accounting Standards prescribed under Section 133 of the Act.

11. In the second motion proceedings, certain directions were issued by this Tribunal vide order dated 21.09.2023, which were complied with by filing

[4] At Page 106-109 of the Petition
[5] At Page No. 138 of the Petition

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a memo bearing Dairy No. 6496 dated 03.11.2023. The notice of hearing was published in *Business Standard* (English Daily) and *Andhra Prabha* (Telugu Daily) on 02.10.2023. It is further stated in the memo that copies of the notices were served upon the (a) Regional Director (SER), Hyderabad, MCA; (b) Registrar of Companies, Andhra Pradesh, MCA; and (c) Income Tax Department through speed post, and acknowledgment receipts evidencing the delivery of notices are attached to the memo.

12. The Regional Director (RD) filed his first report, Diary No.790, dated 10.06.2024, and raised the following objections. The Petitioner Companies replied to the same vide Diary No.1416, dated 01.10.2024, as detailed below:

S. No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit
1	The Directorate has received Letter No. ROCV/Amal/STA/60217 & 121538/230/2024/42 dated 22.04.2024 from the Registrar of Companies, Andhra Pradesh. While the Registrar has not raised any objections to the proposed **Scheme,** he has noted certain observations, which are as follows:-	Undertaking given by the Petitioner Companies:
	(a) To direct the Petitioner Companies to preserve its books of accounts & papers & records and not to dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	The Petitioner Companies gave undertaking to preserve the books of accounts and records of the Petitioner Companies in terms of Section 239 of the Companies Act, 2013.
	(b) To direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the Petitioner companies shall not be absolved for any of its statutory liabilities in any manner.	The Petitioner Companies affirm that they will comply with all applicable laws. They further state and submit that the approval of the Scheme of Arrangement does not absolve them of any statutory liabilities.
	(c) To direct the Petitioner Companies, involved in the	The Petitioner Companies gave their undertaking that they would comply

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	scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of Registrar of Company by the Petitioner Companies.	with the provisions of the Companies Act, 2013 and file final order passed by Hon'ble Tribunal in INC-28 in accordance with Rule 17 (2) of the Companies (Comprises, Arrangements and Amalgamations) Rules, 2016 for confirmation of Scheme with the concerned Registrar of Companies Post the receipt of Final Order.
	(d) To direct the Transferee Company to file an application with the Registrar of Companies (RoC) indicating the revised authorized capital and provide proof of payment of the prescribed fees for the revised capital, after adjusting the fees already paid by the Transferor Companies.	The Resulting Company undertakes that the Company will comply with the provisions of the Companies Act, 2013 regarding the increase of its Authorized Share Capital and will file the necessary forms/applications with the concerned Registrar of Companies.
2	With reference to the Directorate's letter dated 16.10.2023, issued to the Deputy Commissioner of Income Tax, Vijayawada, this office has not yet received any response from the Statutory Authorities. In view of this, the Petitioner Companies may be advised to furnish an undertaking stating that, if any demand arises in the future concerning the Demerged Company or the Resulting Company, the Resulting Company will be responsible for paying such dues to the Income Tax Authorities in accordance with the law.	The Petitioner Companies gave their undertaking that they would comply the same.
3	Upon examining the contents of the scheme, the replies of the Petitioner Companies, and the observations made by the ROC, the observations of the Deponent are as follows:	
	(a) The Appointed Date in the Scheme is 01.01.2023. The Petitioner Companies may be directed to explain the rationale for selecting this odd date is Appointed Date and submit a financial statement as of the Appointed Date to provide details of Assets and Liabilities,	The Petitioners submitted that the Board of Directors approved the Scheme of Arrangement at their meeting on 19.01.2023. The previous quarter ended on 31.12.2022, and thus, the day immediately following the end of the last quarter, prior to the Board Meeting, was chosen as the

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	given that this is a Demerger Scheme.	Appointed Date. Furthermore, it is submitted that the Ministry of Corporate Affairs (MCA), in its Circular No. 09/2019 dated 21.08.2019, clarified that companies can select any specific calendar date as the Appointed Date. However, if the appointed date is significantly anti-dated by more than one year from the date of filing, the company must provide justification in the Scheme. In the present case, the Appointed Date is not significantly anti-dated.
	(b) Clause 11.4 of the Scheme mandates that the Resulting Company increase its authorized share capital as required, in compliance with Sections 13, 14, and 61(1) of the Companies Act, 2013, to facilitate the post-de-merger issue of shares to the shareholders of the Demerger Company as per Clause 11.1. The Resulting Company may be directed to file the necessary e-forms with the RoC for the capital increase upon the scheme's sanction and provide an undertaking in this regard.	The Resulting Company undertakes to file the necessary e-forms with the concerned Registrar of Companies for the increase in its Authorized Share Capital.
	(c) As per Clause 12.1 of the Scheme, any difference between the assets and liabilities transferred shall be adjusted in the General Reserve of the Demerged Company. Clause 12.2 states that the face value of equity share capital issued by the Resulting Company, as per Clause 11.1, shall be credited to its General Reserve, making it part of the Free Reserves available for dividend distribution. However, this interpretation is incorrect. Any surplus arising from the scheme of arrangement should not be credited to the General Reserve, as it is not a free reserve and cannot be used for dividend distribution. Instead, any deficit due to a loss in net worth	The Petitioners submitted that the demerger (i.e., the transfer of assets and liabilities) will be undertaken at book values. AS-14 governs merger accounting, and since the Petitioner companies do not follow Ind AS, Ind AS 103 is not applicable. Although demerger is not specifically addressed in AS-14, it will be treated in accordance with the applicable accounting method. Specifically, assets and liabilities will be transferred at their book values, and any variance in net worth will be adjusted against the Reserve and Surplus account. The Petitioner companies undertake to adhere to this accounting treatment.

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	may be debited to the General Reserve of the Demerged Company, while any surplus should be treated as a Capital Reserve.	
	(d) The Petitioner Companies have not disclosed their financial position as of the Appointed Date or provided details of the Assets and Liabilities to be transferred from the Demerged Company to the Resulting Company upon approval of the scheme. It is therefore requested that the Hon'ble Tribunal direct the Petitioner Companies to furnish the details of Assets and Liabilities to be transferred to the Resulting Company and the remaining Assets and Liabilities with the Demerged Company post-arrangement and the details of the Accounting Treatment in the books of both companies' post-arrangement.	The Petitioner Companies are filing the statement of assets and liabilities of the Demerged Undertaking and the assets and liabilities of the remaining undertaking of the Demerged Company as of the appointed date, i.e., 01.01.2023, as an annexure to this affidavit. It is further submitted that the Petitioner Companies will comply with the applicable accounting standards regarding the accounting treatment in the books of both the Demerged Company and the Resulting Company.
	(e) As per the Petitioners' reply dated 05.01.2024, no assets or liabilities are being transferred to the Resulting Company. The assets and liabilities of both the Demerged and Resulting Companies will remain as per their provisional balance sheets. The scheme specifies that the Demerged Undertaking, i.e., the Sanitization Services of the Demerged Company, will merge into the Resulting Company. The Regional Director has requested the Tribunal to direct the Petitioners to provide detailed information on the transfer, including the INR values of the assets and liabilities being transferred and retained, along with comprehensive details of the Resulting Company's assets and liabilities post-transfer.	

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	(f) Clause 10.1 of the Scheme states that the remaining business, along with associated assets, liabilities, and obligations, shall remain with and be managed by the Demerged Company, subject to encumbrances in favor of banks, financial institutions, and debenture-holders. However, the clause lacks clarity on the specific details of the Demerged Company's assets and liabilities post-Scheme sanction and appears inconsistent with Clause 4 of Part-II. The Hon'ble Tribunal may therefore direct the Petitioner Companies to provide detailed clarification.	It is humbly submitted that Clause 4 of the Scheme of Arrangement deals with the assets and liabilities of the Demerged Undertaking, which is being transferred to the Resulting Company pursuant to the Scheme. Clause 10 of the Scheme deals with the remaining undertaking (other than the Demerged Undertaking). The Petitioner Companies are filing the statement of assets and liabilities of the Demerged Undertaking, as well as the assets and liabilities of the remaining undertaking of the Demerged Company, as of the appointed date, i.e., 01.01.2023, as an Annexure to this Affidavit.

13. The Regional Director (RD), after considering the Petitioner's reply, filed a further report under Diary No.1452 dated 07.10.2024, raising the following objections, to which the Petitioner Companies provided detailed responses as outlined below:

S. No.	RD's Observations	Reply of the Petitioner Companies by way of memo
1	The reply filed by the Petitioner Company in response to the observations at Para 7(b) of the affidavit is inadequate as it fails to address the specific accounting treatment of assets and liabilities in the Demerged Company's books post-arrangement. According to the scheme (Paras 12.1 & 12.2), the transfer of Net Worth from the Demerged Company to the Resulting Company is incorrectly treated as a "General Reserve." This is erroneous, as a loss in Net Worth should be written off against the shareholders' funds of the Demerged Company, and any gain should be treated as a Capital Reserve. The Petitioner has not justified the value of the assets and liabilities to be demerged, as no financial statement	The Regional Director has raised similar objections in other cases involving Scheme of Arrangement, particularly regarding the applicability of AS-14. It is well-established that AS-14 does not apply to Schemes of Arrangement, as the Demerged Company continues to exist post-scheme. If any statutory or regulatory authority raises objections regarding AS-14 violations, such objections must be based on applicable laws. The Hon'ble High Courts have ruled that Accounting Standards apply to Amalgamation, not to Schemes of Arrangement. Relevant rulings are referred hereunder: In the matter of ***M/s. Sony India Private Limited and M/s. Sony India Software Centre Private Limited in***

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	of the Demerged Undertaking as of the Appointed Date has been provided. Since the Net Worth transfer will be compensated to the shareholders of the Demerged Company, any loss in Net Worth should be adjusted against the shareholders' funds post-arrangement. Furthermore, any surplus arising from the scheme should not be credited to the General Reserve, as it is a free reserve meant for dividend distribution. The scheme requires modification to clarify the specific accounting treatment in the Demerged Company's books, given the absence of a relevant Accounting Standard or IND-AS.	***Company Petition No.137/2012(MANU/DE/3166/2012), the Hon'ble High Court of Delhi*** held at para 14 & 15 are: *"14. In response to the aforesaid observation it is clarified that AS-14 (i.e. accounting standards issued by the Institute of Chartered Accountants) is applicable only to amalgamations and not to demerger. On a plain reading of the accounting standard under reference, it is clear that the same is applicable only in case of an amalgamation and not in case of demergers. This has also been held by the Gujarat High Court I case of 2010 1 CLJ 351 titled Gallops Realty (P) Ltd."*

14. The Regional Director (RD), after considering the said reply by the Petitioners, did not raise any further objections against accepting the Scheme of Arrangement of the Petitioner Companies.

15. We have heard the Ld. Counsel for the Petitioner Companies and the Ld. Additional Director, RD (SER), and have perused the record. The Ld.Counsel for the Petitioner Companies submits that the Petitioner Companies have complied with all requirements as per the directions of the Tribunal and have filed the necessary affidavits of compliance before this Tribunal. Furthermore, the Petitioner Companies undertake to comply with all statutory requirements, if any, as required under the Companies Act, 2013, and the Rules made thereunder, as may be applicable. The Undertakings are accepted.

16. We have considered the observations made by the RD and the Reply filed by the Petitioner Companies. We are satisfied with the response given by the Petitioners w.r.t observations made by the RD.

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17. The shareholders of the petitioner companies are the best judges of their interest, fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions.

18. The Hon'ble Supreme Court in ***Miheer H. Mafatal v/s. Mafatlal Industries Ltd***[6] while considering the scope of the jurisdiction of the Company Court in respect of matters of sanction of the Scheme of Amalgamation as per the provisions of Section 391 read with Section 393 of the Companies Act, 1956[7], observed as under:

> *"It is commercial wisdom of the parties to the scheme who have taken an informed decision about the usefulness and propriety of the scheme by supporting it by the requisite majority vote that has to be kept in view by the Court. The Court certainly would not act as a court of appeal and sit in judgment over the informed view of the concerned parties to the compromise as the same would be in the realm of corporate and commercial wisdom of the concerned parties. The Court has neither the expertise nor the jurisdiction to delve deep into the commercial wisdom by the creditors and members of the company who have ratified the Scheme by the requisite majority. Consequently, the Company Courts jurisdiction to that extent is peripheral and supervisory and not appellate."*

In view of the law laid down by the Supreme Court, this Tribunal is not supposed to examine the merits/benefits of the commercial wisdom of the decision of the shareholders.

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[6] *Miheer H. Mafatal v/s. Mafatlal Industries Ltd I (Order dated 11.09.1996) [Citation: JT 1996 (8) 205]*

[7] *Section 391 of the Companies Act, 1996: Power to compromise or make arrangements with creditors and members & Section 393 of the Companies Act, 1996: Information as to compromises or arrangements with creditors and members*

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19. On the basis of the above facts and submissions made by the learned counsel and by considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, reports of the Regional Director and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law, it appears that the requirements of the provisions of Sections 230 and 232 are satisfied by the Petitioner Companies. We are of the considered view that the proposed Scheme of Demerger is bona fide and in the interest of the shareholders and creditors.

20. In the result, the Company Petition is allowed with the following directions:-

i. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal to the scheme will not come in the way of action being taken, albeit, in accordance with the law, against the concerned persons, directors and officials of the Petitioners.

ii. While approving the Scheme as above, it is further clarified that this order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

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iii. The Scheme of Arrangement (**Copy of the Scheme enclosed at Page No.81 to 105 of the Petition**) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

iv. The Scheme shall become effective from the Appointed Date i.e., **01.01.2023** and shall be made operational from the date of filing of the orders with the Registrar of Companies.

v. All licenses, permissions, permits, approvals, certificates, clearances, authorities, leases, tenancy, assignments, rights, claims, liberties, special status, other benefits or privileges and any power of attorney relating to the Investment Undertaking along with all the assets and liabilities of the Demerged Undertaking shall stand transferred to and vest in the Resulting Company, without any further act or deed. The Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company.

vi. All the liabilities of the Investment Undertaking of the Demerged Company be transferred, without further act or deed, to the Resulting Company and accordingly the same shall pursuant to Sections 230 and 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company.

vii. All contracts, agreements, insurance policies, bonds and all other instruments of whatsoever nature or description, of the Investment Undertaking of the Demerged Company, shall stand transferred to

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and vested in the Resulting Company and be in full force and effect in favour of the Resulting Company and may be enforced by or against it as fully and effectually against the Resulting Company.

viii. All taxes paid or payable by the Investment Undertaking of the Demerged Company including existing and future incentives, un-availed credits and exemptions, benefit of carried forward losses and other statutory benefits, shall be available to and vest in the Resulting Company.

ix. All proceedings now pending by or against the Investment Undertaking of the Demerged Company, if any, shall be continued by or against the Resulting Company.

x. All employees in the service of the Investment Undertaking of the Demerged Company shall be deemed to have become the employees and the staff of the Resulting Company on date on which the scheme finally takes effect on the basis that their services shall be deemed to have been continuous and not have been interrupted by reasons of the said transfer and on terms and conditions no less favourable than those on which they were/ are engaged, as on the Effective Date.

xi. The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

xii. All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The

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Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

xiii. The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme with the Registrar of Companies, Andhra Pradesh electronically, along with e-form INC-28 in addition to physical copy within 30 days from the date of issuance of the certified copy of the Order by the Registry as per relevant provisions of the Act.

xiv. Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the Scheme and if it is found that the Scheme of Arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action as per law. Any sanction of the Scheme of Arrangement under Sections 230-232 of the Companies Act, 2013 shall not adversely affect the rights of Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

xv. The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

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xvi. The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

xvii. The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

xviii. The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

xix. Any person aggrieved shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

21. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA)/7/230/AMR/2023 connected with CA(CAA)/5/230/AMR/2023 is allowed and stands disposed of, in terms of the above order.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu

"Annexure-5"

Scheme of Arrangement under Sections 230 to 232 of the Companies Act, 2013 and other Applicable Provisions of the Companies Act, 2013

Between

First Object Industries Private Limited

(Demerged Company/Transferor Company)

And

First Object Agency Private Limited

(Resulting Company/Transferee Company)

And

Their Respective Shareholders and Creditors

For FIRST OBJECT INDUSTRIES PVT. LTD.

Managing Director / Director

For FIRST OBJECT AGENCY PVT. LTD.

Ch. Sagar Chandu Reddy.

Managing Director/Director

PART I – GENERAL

A. **First Object Industries Private Limited (CIN:U74900AP2008PTC060217)**is a Company incorporated under the Companies Act, 1956 on21.07.2008, having its registered office at #54-20/9-13, 1st Floor Hanuman Residency, Sree Nagar Colony Vijayawada Andhra Pradesh 520007 India(the **"Demerged Company" /"Transferor Company"**). The brief description of the businesses being carried out by "Demerged Company"/ "Transferor Company":

Main Objects:

- To establish and carry on in India or elsewhere the business to acquire, undertake, promote, run, manage, own, lease, convert, build, commercialize, handle, operate, renovate, construct, maintain, improve, exchange, furnish, recondition, hire, let on hire, develop, consolidate, subdivide & organize, hotels, restaurants, café, rest houses, tea and coffee houses, beer houses, bars, lodging, house keepers, refreshment rooms, night clubs, swimming pools, Turkish baths, lodges, apartments, housekeepers, cottage, licensed victuallers, discotheques, banquet halls, dressing rooms, laundries, hair dresser shops ,stores, libraries, writing and newspaper rooms, places of amusement, recreation ,art galleries, sports entertainments, health clubs, travelling agencies, motor cabs, and to prepare and produce, process, buy, sell, import, export, service, wholesale, retail, pack, repack, or otherwise to deal in all kinds of vegetarian foods, non-vegetarian foods, beverages, wines, waters, purveyors, cigarettes, tobacco, soft drinks, ice creams, juices, juices, cosmetics, cloths, provisions, spices, and other allied goods, materials, substances, consumables and preparations connected there to.
- To undertake design and development of software for computer systems and data communication systems etc.
- To carryon in India or elsewhere the trades or business of sponge iron material, ferro manganese, colliery proprietors etc.
- To acquire, Construct, purchase, sell, erect, start, run, develop, buy or dispose ofland, apartments, commercial complexes, shopping complexes, individual houses,farm houses, housing plots, factory buildings etc.
- To carry on in India and elsewhere the trades or business of research, designers,consultants, manufacturers and dealers of organic and inorganic chemicals,intermediates, pharmaceuticals etc.

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Managing Director / Director

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Ch. Sagar Chandu Reddy.
Managing Director/Director

B. **FIRST OBJECT AGENCY PRIVATE LIMITED (CIN:U74999AP2022PTC121538)**is a Company incorporated under the Companies Act, 2013 on02.05.2022, having its registered office at H NO 12-468/2/2/107, My Dream Homes Mahendraenclave,Kunchanapalli,Tadepalli Guntur Andhra Pradesh 522501 India(the **"Resulting Company"/"Transferee Company"**). The brief description of the businesses being carried out by **"Resulting Company"/ "Transferee Company"**:

Main Objects:

1. To carry on in India or elsewhere the business of security services, security guards, body guards and to provide national level guarding services like event security and allied services, industrial security services, personnel security services, cash escort services, electronic & security surveillance, manned guarding, detective services & facility management and to provide a wide range of training programmes under security related training programmes across India in private & public sectors.

2. To carry on the business of providing Manpower placement and recruiting, Selecting, Interviewing, Training and Employing all types of executives, Middle Management Staff, Junior Level Staff, Workers, Laborers Skilled/Unskilled required by various Industries and organizations including providing security services, Labour contractors, Industrial, Commercial, Housing and other security services and workers for office management and to conduct employment bureau and to provide consultancy and other services in connection with requirements of persons and manpower supply in India and abroad.

3. To carry on the business of distributors, traders, consignment agents, importer and exporters of all kind of educational tools, kits, literature, accessories, and all forms of related equipment and to do the business as publishers of books, e-books, Educational guides and others and to provide support / consulting services.

4. To carry on the Activity of Promoting, Imparting, Launching, Creating, Designing, Adopting Traditional, Formal and Creative Means of Imparting, Inculcating , Disseminating, Diversified Skills, Education Forms and providing Training, Conducting Seminars, Web-Seminars, Counseling, E-Courses, Online Classes, Teaching to Schools, college, University, Private Institutions Students,

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Distance Education, Personal or Group Coaching & Consultancy, Personal Consultancy& Training, Business Consultancy & Training, Telephonic Consultation, Meditation Exercise, Motivational Trainings, Delivering Training Programme, with the intent of carrying on the Business of Education amongst the masses of India and Abroad by own self and/or through any other Individual, Association of Persons or such Body or Otherwise for self or for and on behalf of any third party under an Agreement or Understanding whether Written or Otherwise and on such terms and conditions as the Company may deem fit.

5. To carry on the business of consignment agents, importer and exporters of all kind of educational tools, kits, literature, accessories, and all forms of related equipment and to do the business as publishers of books, e-books, Educational guides and others and to provide support / consulting services.

C. The Scheme of Arrangement (hereinafter referred to as **"Scheme"/"Scheme of Arrangement"**) is for the transfer of the Business of Sanitization Services(hereinafter referred to as the **"Demerged Undertaking"**) of the demerged company to the resulting company.

D. The demerger of the Business of Sanitization Serviceswould help the Demerged Company and Resulting Companyto focus on the respective businesses more effectively which requires diversified strategies and planning. The Sanitization services haveundergone substantial growth and would require specific attention, planning and administration. This would bring about focus the business of both the Demerged Company and Resulting Company.

E. The present Scheme of Arrangement would involve demerger and mergerof 'Sanitization services' businessof demerged company into the Resulting companyon a going concern basis as defined hereinafter, focusing on the remaining business as defined later in this scheme, issue of Equity Shares by the Resulting Company to the Shareholders of the Demerged company.

F. This scheme has been drawn up so that the Demerger and merger of the 'Sanitization services' from the demerged company into the resulting company is compliant with the conditions relating to the demerger as specified in section 2(19AA) of the Income Tax Act, 1961.

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Managing Director/Director

G. The Board of Directors of the Demerged Company and the Resulting Company are of the opinion that the transfer would result in benefit to the shareholders, creditors and employees of both the companies and all concerned.

1. DEFINITIONS

1.1. In the Scheme unless repugnant to the meaning or context thereof, the following expressions shall have the following meaning.

a. **"Act** "means the Companies Act, 2013.

b. **'Appointed Date'** means the 01.01.2023 or such other date as the Hon'ble National Company Law Tribunal (NCLT) may direct with effect from which this Scheme of Demerger shall be applicable.

c. **'Board of Directors'** or **'Board'** in relation to each of the Demerged Company and the Resulting Company as the case may be means the Board of directors of such Company or companies.

d. **'Demerger'** means the transfer by way of demerger of the 'Sanitization services' from the demerged company to the resulting company

e. **'Demerged undertaking'** means the undertaking of the demerged company comprising of business of Sanitization servicesand shall include:

i) all assets wherever situated, whether movable or immovable, leasehold or freehold, tangible or intangible, including all plant and machinery, buildings, offices, roads and culverts, capital work–in-progress, vehicles, furniture, fixture, office equipments, computer installations, electrical, appliances, accessories, stocks pertaining to or relatable to the 'Sanitization services' of Demerged Company.

ii) all rights and licenses, all assignments and grants thereof, all permits, registrations, quota rights, import quotas, rights (including rights under any agreement, contracts, applications, letters of intent, or any other contracts), subsidies, grants, tax credits, incentives or schemes of central/ state governments, quality certifications and approvals, regulatory approvals, entitlements, industrial and other licenses, municipal permissions, good will, approvals, consents, tenancies, if any in relation to the office, interest (whether vested, contingent or otherwise) in projects undertaken by Demerged undertaking, either solely or jointly with other parties, cash balances, bank balances, bank accounts, deposits, advances, recoverable, receivables, easements, advantages, hire purchase and lease arrangements, the benefits of bank guarantees issued by Demerged Company in relation to the 'Sanitization services', funds belonging to or proposed to be utilized for the

Demerged Undertaking, privileges, all other claims, rights and benefits (including under any powers of attorney issued by the Demerged Company in relation to the 'Sanitization services' or any powers of attorney issued in favour of the Demerged Company or from or by virtue of any proceeding before a legal, quasi-judicial authority or any other statutory authority to which the Demerged Company was a party), powers and facilities of every kind, nature and description whatsoever, rights to use and avail of telephones, telexes, facsimile connections and installations, utilities, electricity, water and other services, provisions, funds, benefits of all agreements, contracts and arrangements and all other interests in connection with or relating to the 'Sanitization services'.

iii) All the debts, borrowings and liabilities, contingent liabilities, present or future, whether secured or unsecured, pertaining to the 'Sanitization services'of the Demerged Company.

iv) all permanent employees on the Rolls of Demerged Company substantially engaged in the business of 'Sanitization services' of the Demerged undertaking and those permanent employees on the Rolls of the Demerged Company that are determined by the Board of Directors of the Demerged Company, to be substantially engaged by the Resulting Company.

v) all deposits and balances with Government, Semi-Government, local and other authorities and bodies, customers and other persons, earnest moneys and/ or security deposits paid or received by the Demerged Company, directly or indirectly in connection with or in relation to the business of 'Sanitization services' of the Demerged undertaking;

vi) all books, records, files, papers, products specifications and process information, records of standard operating procedures, computer programmes along with their licenses, manuals and back-up copies, drawings, other manuals, data catalogues, quotations, sales and advertising materials, list of present and former customers and suppliers, customer credit information, customer pricing information, and other records whether in physical or electronic form, directly or indirectly in connection with or relating to the Demerged undertaking;

The definition of the Demerged Undertaking under this clause would enable the transfer of all property, assets and liabilities of the Demerged Undertaking to the Resulting Company pursuant to this Scheme.

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f. The **'Effective Date'** means the last date on which all the sanctions, approvals or orders specified in the scheme are obtained and the certified copies of the orders of the Hon'ble National Company Law Tribunal (NCLT), Amaravati, Andhra Pradesh.

g. **"NCLT"** means the National Company Law Tribunal, Bench at Amaravati, which has jurisdiction in relation to First Object Industries Private Limited and First Object Agency Private Limited.

h. **"Income Tax Act"** means the Income Tax Act, 1961, including any statutory modifications, re-enactments or amendments thereof for the time being in force.

i. **"Registrar of Companies"** or the **"ROC"** means the Registrar of Companies, Vijayawada, Andhra Pradesh.

j. **"Remaining Business"** means all other business, divisions, assets and liabilities of the Demerged Company other than the business of'Sanitization services' of the Demerged undertakingexisting as on the appointed date or acquired thereafter.

1.2 The Schedules to this Scheme shall form an integral and inseparable part of this Scheme.

2. DATE OF COMING INTO EFFECT

The Scheme shall be deemed to be effective from the Appointed Date but shall be operative from the Effective Date.

3. SHARE CAPITAL

a) The authorized, issued, subscribed and paid up share capital of the Demerged Company is as follows:

Particulars	Amount (Rs.)
Authorised Capital 10,00,000 Equity Shares of Rs. 10 each	1,00,00,000/-
Issued, Subscribed and Paid-up Capital 1,00,000Equity Shares of Rs.10 each	10,00,000/-

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b) The authorized, issued, subscribed and paid up share capital of the Resulting Company is as follows:

Particulars	Amount (Rs.)
Authorised Capital 10,000 Equity Shares of Rs. 10 each	1,00,000/-
Issued, Subscribed and Paid-up Capital 10,000 Equity Shares of Rs.10 each	1,00,000/-

PART II – DEMERGED UNDERTAKING

4. TRANSFER OF UNDERTAKINGS

4.1. Upon coming into effect of the Scheme and with effect from the Appointed Date, the Demerged undertaking proportionately including all the estate, assets, rights, claims, title, interests and authorities including accretions and appurtenances, subject to Sections 230 to 232 of the Companies Act, 2013 and all other applicable rules and regulations including other statutory acts for the time being in force, without any further act or deed, shall stand transferred to and vested in or deemed to have been transferred to or vested in, as going concern, into the Resulting Company. The transfer and vesting of the business of 'Sanitization services' of the Demerged undertakinginto the Resulting Company shall be effected in the manner set out below.

4.2. All the moveable assets including cash in hand of the business of 'Sanitization services' of the Demerged undertakingcapable of manual delivery or by endorsement shall be physically handed over by manual delivery or endorsement and delivery so that the ownership and property therein passes to the Resulting Company on such handing over in pursuance of the Companies Act (as an integral part of the Demerged undertakingrespectively) without requiring any deed or instrument of conveyance for transfer of the same, subject to the provisions of this Scheme including encumbrances in favor of banks and /or financial institutions. Such delivery and transfer shall be made on a date to be mutually agreed upon between the respective Board of Directors of Resulting Company and the Demerged Company within 30 days from the Effective Date.

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4.3. In respect of any assets belonging to the Demerged undertaking, other than those referred to in Sub-Clause 4.2 above, the same shall without any further act, instrument, deed, matter or thing be transferred to and vested in and/or deemed to be demerged from the Demerged Company and transferred to and vested in the Resulting Company respectively upon the coming into effect of the Scheme and with effect from the Appointed Date pursuant to the provisions of Section 230-232of the Act.

4.4. Further, the assets belonging to the Demerged undertakingproportionately including sundry debtors, outstanding loans and advances, if any, recoverable in cash or in kind or value to be received, bank balances and deposits, if any, the following modus operandi for intimating to third parties shall, to the extent possible, be followed :

i. The Resulting Company shall give notice in such form as it may deem fit and proper to each party, debtor of the Demerged undertaking of Demerged Company as the case may be, that pursuant to the Scheme coming into effect, the said debt, loan, advances, deposit etc. be paid or made good or held on account of the Resulting Company respectively as the person entitled thereto, to the end and intent that the right of the Demerged Company to recover or realize the same stands extinguished, and that such right to recover or realize the same shall vest in the Resulting Company.

ii. The Demerged Company may, if required, give notice in such form as it may deem fit and proper to each person, debtor that pursuant to the Scheme coming into effect, the said person, debtor should pay the debt, loan, advance or deposit, or make good the same or hold the same to the account of the Resulting Company and that the right of the Resulting Company respectively to recover or realize the same is in substitution of the right of the Demerged Company.

4.5. Upon coming into effect of this Scheme, all debts, liabilities, loans and obligations incurred, duties or obligations of any kind, nature or description (including contingent liabilities) pertaining to the Demerged undertaking (as on the Appointed Date) shall, without any further act or deed, stand transferred to and vested in and be deemed to have been transferred to and vested in the Resulting Company to the extent that they are outstanding as on the Effective Date and on the same terms and conditions as applicable to the Demerged company, and shall become the debts liabilities, loans, duties and obligations of the Resulting

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Companywhich shall meet, discharge and satisfy the same and further that it shall not be necessary to separately obtain the consent of any third party or other person who is a party to any contract or arrangement by virtue of any of the liabilities which have arisen in order to give effect to the provisions of this Clause. In cases of debts, liabilities, loans and obligations incurred for both Demerged undertaking and Remaining Business, proportionate part of such general or multipurpose borrowings and liabilities of the Demerged Company shall be allocated to the demerged undertaking. It is hereby clarified that upon the coming into effect of this Scheme, where any regulatory approvals are required for the purposes of apportioning the general or multipurpose borrowings as provided herein, the same shall be obtained by the Demerged Company and/or the Resulting Company by way of specific applications on this behalf.

4.6. Where any of the debts, liabilities, loans and obligations incurred, and duties and obligations undertaken pertaining to the Demerged undertaking respectively as on the Appointed Date deemed to be transferred to and vested in the Resulting Company respectively have been discharged by the Demerged Company after the Appointed Date and prior to the Effective Date, such discharge shall be deemed to have been for and on account of the Resulting Company respectively.

4.7. Upon the coming into effect of the Scheme, all debts, liabilities, loans and obligations incurred, and duties and obligations undertaken pertaining to the Demerged undertaking after the Appointed Date and prior to the Effective Date, shall, subject tothe terms of this Scheme, be deemed to have been raised, used or incurred for and on behalf of the Resulting Company in which the Demerged undertakingshall vest in terms of this Scheme and to the extent they are outstanding on the Effective Date, shall also without any further act or deed, stand transferred to and vested in and be deemed to have been transferred to and vested in the Resulting Company and shall become the debts, liabilities, loans, duties and obligations of the Resulting Company which shall meet, discharge and satisfy the same. Provided however that no debts, liabilities, loans, duties and obligations pertaining to the Demerged undertaking shall have been assumed by the Demerged Company after the Appointed Date without the prior written consent of the Resulting Company otherwise than in the ordinary course of business.

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4.8. The Demerger and the transfer and vesting of the assets comprised in the Demerged undertaking to the Resulting Company under this Scheme shall be subject to all encumbrances, if any, affecting the same as hereinafter provided.

4.9. So far the existing encumbrance, if any, in respect of the loans, borrowings, debts, liabilities of the Demerged undertaking("**Transferred Liabilities**") is concerned, such encumbrance shall, without any further act instrument or deed be modified and shall be extended to and shall operate only over the assets comprised in the Demerged undertaking which has been encumbered in respect of the Transferred Liabilities as transferred to the Resulting Company pursuant to this Scheme. Provided that if any of the assets comprised in the Demerged undertakingwhich are being transferred to the Resulting Company pursuant to this Scheme have not been encumbered in respect of the Transferred Liabilities, such assets shall remain unencumbered and the existing encumbrance referred to above shall not be extended to and shall not operate over such assets. The absence of any formal amendment which may be required by a lender or trustee or third party shall not affect the operation of the above. Provided also that should it become necessary at the instance of the bankers, the resulting companies shall provide corporate guarantees on behalf of each other to meet any such contingencies.

4.10. Upon the coming into effect of this Scheme, the Resulting Company alone shall be liable to perform all obligations in respect of the Transferred Liabilities, which have been transferred to it in terms of this Scheme, and the Demerged Company shall not have any obligations in respect of such Transferred Liabilities.

4.11. All encumbrances or those, if any, created by the Demerged Company after the Appointed Date, in terms of this Scheme, over the assets comprised in the Demerged undertakingor any part thereof transferred to the Resulting Company by virtue of this Scheme, shall, after the Effective Date, continue to relate and attach to such assets or any part thereof to which they related or were attached prior to the Effective Date and as are transferred to the Resulting Company. Provided always that the Scheme shall not operate to enlarge the security for any loan, deposit or facility created by or available to the Demerged Company which shall vest in the Resulting Company by virtue of the Demerger and the Resulting Company shall not be obliged to create any further or additional security there for after the Demerger has become effective or otherwise.

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4.12. Without prejudice to the above and upon the effectiveness of this Scheme, the Demerged Company and the Resulting Company shall execute any instruments or documents and do all acts and deeds as may be required, including the filing of necessary particulars and/or modification(s) of charge, if any with the Registrar of Companies and other authorities under the Act to give formal effect to the above provisions, if required.

4.13. It is expressly provided that, save as mentioned in this Scheme, no other term or condition of the Transferred Liabilities transferred to the Resulting Company are modified by virtue of this Scheme except to the extent that such amendment is required by necessary implication.

4.14. Subject to the necessary consents being obtained in accordance with the terms of this Scheme, the provisions of the above sub-clauses shall operate, notwithstanding anything to the contrary contained in any instrument, deed or writing or the terms of sanction or issue of any security document, all of which instruments, deeds or writings shall stand modified and/or superseded by the foregoing provisions.

4.15. With effect from the Appointed Date, all permits, quotas, rights, entitlements, tenancies and licenses relating to the business, premises, brands, patents, copy rights, privileges, powers, facilities of every kind and description of whatsoever nature in relation to the Demerged undertaking and which are subsisting or having effect immediately before the Appointed Date, shall be and remain transferred in full force and effect in favour of the Resulting Company and may be enforced fully and effectually as if, instead of the Demerged Company, the Resulting Company had been beneficiaries or oblige thereto.

4.16. With effect from the Appointed Date, any and all statutory licenses, permissions, approvals and/or consents held by the Demerged Company pertaining to the Demerged undertaking, required to carry on its business and operations shall stand vested in or deemed to be transferred to the Resulting Company without any further act or deed and shall be appropriately mutated by the statutory authorities or any other person concerned therewith in favor of the Resulting Company. The benefit of all statutory and regulatory permissions or approvals or consents required to carry on the operations of the Demerged Company shall vest in and become available to the Resulting Company pursuant to the Scheme coming into effect.

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4.17. The entitlement to various benefits under incentive schemes and policies in relation to the Demerged undertaking shall stand transferred to and be vested in and/or be deemed to have been transferred to and vested in the Resulting Company with all benefits, entitlements and incentives of any nature whatsoever. Such entitlements shall include (but shall not be limited to) income-tax, sales tax, value added tax, turnover tax, excise duty, service tax, customs and other incentives in relation to the Demerged Undertaking to be claimed by the Resulting Company with effect from the Appointed Date as if the Resulting Company was originally entitled to all such benefits under such incentive schemes and/or policies, subject to continued compliance by the Resulting Company of all the terms and conditions subject to which the benefits under such incentive schemes were made available to the Demerged Company.

4.18. Since each of the permissions, approvals, consents, sanctions, remissions (including remissions under income tax, sales tax, value added tax, turnover tax, excise duty, service tax, customs), special reservations, sales tax remissions, holidays, incentives, concessions and other authorizations relating to the Demerged undertaking, shall stand transferred under this Scheme to the Resulting Company respectively, the Resulting Company shall file the relevant intimations, if any, for the record of the statutory authorities who shall take them on file, pursuant to the Scheme coming into effect.

4.19. It is clarified that all the taxes including withholding taxes and duties paid or payable by the Demerged Company in relation to Demerged undertaking, from the Appointed Date onwards including all or any refunds and claims shall, for all purposes, be treated as the tax and/or duty liabilities or refunds and claims of the Resulting Company. Accordingly, upon the Scheme becoming effective, pursuant to the provisions of this Scheme, the Demerged Company and the Resulting Companyis expressly permitted to file its respective income-tax, sales tax, value added tax, turnover tax, excise duty, service tax, customs and any other return(s) (including revised returns) to claim advance tax, withholding tax, input tax, refunds/ credits. Notwithstanding the above, tax compliances (including payment of taxes, maintenance of records, payments, returns, etc.) carried out by the Demerged Company in respect of the Demerged undertakingfrom the Appointed Date up to the Effective Date should be considered as adequate compliance by the Resulting Company and the Resulting Company should be considered to have met them obligations under the respective tax legislations.

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4.20. Upon coming into effect of this Scheme, to the extent that there are inter-company transactions or balances including purchase, sale, loans, advances, debtors/ receivables, creditors/ payables, deposits, balances or other obligations, if any, in relation to the Demerged undertaking, as on or from the Appointed Date, between the Demerged Company, and the Resulting Company, the obligations in respect thereof shall come to an end.

4.21. Further, if any taxes are deducted at source by the Demerged Company or the Resulting Company as the case may be on any payments or credit of any sum in the books (from Appointed Date to the Effective Date) and payable to the Resulting Company or the Demerged Company as the case may be but on account of Clause 4.20 the said transaction needs to be cancelled in the books of the Demerged Company or the Resulting Company, as the case may be, such taxes shall be deemed to be taxes paid by the Demerged Company or the Resulting Company and shall, in all proceedings, be dealt with accordingly.

4.22. Upon coming into effect of this Scheme, the Resulting Company shall be entitled to any tax credit (including tax deducted at source, advance tax and self-assessment tax availed or paid under the provision of the Income tax Act, 1961) whether central, state or local availed/ paid by the Demerged Company up to the Appointed Date and that the same shall stand vested in the Resulting Company as and when paid by the Demerged Company.

5. CONTRACTS AND DEEDS

5.1. Notwithstanding anything contrary contained in this Scheme, any and all existing contracts, deeds, bonds, agreements, undertakings, guarantees, indemnities and other instruments if any, of whatsoever nature relating to the Demerged undertaking and to which the Demerged Company is party or a beneficiary and subsisting or having effect on the Effective Date, shall be in full force and effect transferred in favor of the Resulting Company and may be enforced by or against the Resulting Companies as fully and effectually as if, instead of the Demerged Company, the Resulting Company had been a party or beneficiary or oblige thereto, without any further act or deed.

5.2. The Resulting Company shall enter into and/or issue and /or execute deeds, writings or confirmations or enter into any tripartite arrangements, confirmations or

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novations, to which the Demerged Company will, if necessary, also be party in order to give formal effect to the provisions of this Scheme, if so required or becomes necessary. The Resulting Company shall be deemed to be authorized to execute any such deeds, writings or confirmations on behalf of the Demerged Company and to implement or carry out all formalities required on the part of the Demerged Company to give effect to the provisions of this Scheme.

5.3. Without prejudice to the generality of the foregoing, it is clarified that upon the coming into effect of the Scheme, all consents, permissions, licenses, certificates, insurance covers, clearances, authorities, powers of attorney given by, issued to or executed in favor of the Demerged Company in relation to the Demerged undertaking shall stand transferred to the Resulting Company as if the same were originally given by, issued to or executed in favor of the Resulting Company, and the Resulting Company shall be bound by the terms thereof, the obligations and duties thereunder, and the rights and benefits under the same shall be available to the Resulting Company.

6. LEGAL PROCEEDINGS

6.1. Upon the Scheme becoming effective, all legal, taxation or other proceedings, suits, claims, actions before any statutory or quasi-judicial authority or tribunal of whatsoever nature, pertaining to the Demerged undertaking, by or against the Demerged Company pending and/or arising on or before the date on which this Scheme shall finally take effect or the Appointed Date, shall be continued and enforced by or against the Resulting Company only, to the portion of the Demerged Company in the manner and to the same extent as would have been continued and enforced by or against the Demerged Company. On and from the Effective Date, the Resulting Company shall and may, if required, initiate any legal proceedings in relation to the relevant matters pertaining to the Demerged Company in the same manner and to the extent as would or might have been initiated by the Demerged Company. Except as otherwise provided herein, the Demerged Company shall in no event be responsible or liable in relation to any such legal, taxation or other proceedings against the Resulting Company. The Resulting Company shall be replaced/ added as party to such proceedings and shall prosecute or defend such proceedings at its own cost, in co-operation with the Demerged Company.

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Ch. Sagar Chand Reddy.

Managing Director/Director

6.2. After the Appointed Date, if any proceedings pertaining to the Demerged undertaking are taken against the Demerged Company the same shall be defended by and at the cost of the Resulting Company.

6.3. The Resulting Company undertakes to have all legal, taxation or other proceedings initiated by or against the Demerged Company referred to in Sub-Clause 6.1 above transferred to its name as soon as reasonably possible after the Effective Date and to have the same continued, prosecuted and enforced by or against the Resulting Company to the exclusion of the Demerged Company. Demerged and Resulting Companyshall make relevant applications on that behalf.

7. SAVING OF CONCLUDED TRANSACTIONS

The transfer and vesting of the properties, liabilities and obligations pertaining to the Demerged undertaking pursuant to this Scheme shall not affect any transactions or proceedings already completed by the Demerged Company before the Appointed Date to the end and intent that, the Resulting Company accepts all acts, deeds and things done and executed by and/or on behalf of the Demerged Company and pertaining to the Demerged undertaking which shall vest in the Resulting Company in terms of this Scheme as acts, deeds and things made, done and executed by and on behalf of the Resulting Company.

8. EMPLOYEES

8.1. Permanent Employees on the Rolls of the Demerged Company pertaining to the Demerged undertaking, in service on the Effective Date shall be deemed to have become the employees of the Resulting Company with effect from the Appointed Date or from the date of their appointment after the Appointed Date without any interruption or break in their service as a result of the transfer and vested of the Demerged undertakingto the Resulting Company. The terms and conditions of their employment with the Resulting Company with effect from the Effective Date shall not be less favorable than those applicable to them with reference to the Demerged Company on the Effective Date.

8.2.The existing Provident Fund, Gratuity Fund, Superannuation Fund, trusts, retirement fund or benefits and any other funds or benefits created by the Demerged Company inter alia for the said Employees (collectively referred to as the "**Funds**") in terms of this Scheme shall be continued for the benefit of such employees on the

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same terms and conditions in the Resulting Company. With effect from the Effective Date, the Resulting Company shall make the necessary contribution for such Employees taken over. Upon the Scheme being effective, the Resulting Company shall, to the extent pertaining to the Demerged undertaking, stand substituted for the Demerged Company for all purposes whatsoever related to the administration or operation of such Fund or in relation to the obligations to make a contribution to the said Funds in accordance with the provisions of the Fund or according to the terms provided in the respective Fund deeds or other documents or, in the alternative, create/establish/setup/provide the facility of one or more alternative trusts being not less favorable than the existing Fund in the Demerged Company undertakes and assumes all the duties and obligations and takes over and assumes all the rights and powers of the Demerged Company. The services of the permanent Employees of the Demerged Company will be treated as having been continuous for the purposes of availing the benefits of the aforesaid Funds or provisions of any Funds for Employees.

8.3.The Resulting Company agrees that for the purpose of payment of any compensation, gratuity and other terminal benefits, the past services of such Employees with Demerged Company shall also be taken into account, and agrees and undertakes to pay the same as and when payable.

8.4. In so far as the existing benefits or funds created by the Demerged Company for the Employees of the Remaining Business are concerned, the same shall continue and Demerged Company shall continue to contribute to such funds and trusts in accordance with the provisions thereof, and such funds and trusts, if any, shall be held inter alia for the benefit of the Employees of the Remaining business.

9. CONDUCT OF BUSINESS FROM APPOINTED DATE TILL THEEFFECTIVE DATE

With effect from the Appointed Date and up to and including the Effective Date;

9.1. The Demerged Company shall carry on and be deemed to have carried on its business and activities pertaining to the Demerged undertaking and shall hold and deal with all assets and properties and stand possessed of all rights, privileges, title, interest, authorities, contracts, investments and strategic decisions of the Demerged undertakingfor and on account of and in trust for the Resulting Company.

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9.2. Any income or profit accruing or arising to the Demerged Company from the Demerged undertaking and all costs, charges, expenses, losses and taxes (including but not limited to advance tax, tax deducted at source, minimum alternate tax credit, taxes withheld/paid in a foreign country, etc), arising or incurred by the Demerged Company pertaining to the Demerged undertaking for the period commencing from the Appointed Date shall for all purposes be treated as the income, profits, costs, charges, expenses, losses and payments, as the case may be, of the Resulting Company including accumulated losses and unabsorbed depreciation, if any.

9.3. The Demerged Company shall not utilize the profits or income, if any, in respect of the period from the Appointed Date and up to the Effected Date for the purpose of declaring or paying any dividend or for any other purpose except for the normal conduct of business of the Demerged undertakingwithout the prior written consent of the Resulting Company.

9.4. The Demerged Company shall not, without the prior written consent of the Resulting Company, encumber or otherwise deal with or dispose of the Demerged undertaking or any part thereof except in the usual course of business or pursuant to any pre-existing obligation undertaken by the Demerged Company prior to the Appointed Date.

9.5. Between the Appointed Date and the Effective Date, the Demerged Company shall carry on the business of the Demerged undertaking with reasonable diligence and prudence, in the ordinary course of business, and the Demerged Company shall not, in any material respect, alter or expand the business, other than such alterations or expansions as have already been commenced, except with the prior written consent of the Resulting Company and shall not undertake any additional financial commitments of any nature whatsoever, borrow any amounts or incur any other liability or expenditure, issue any additional guarantees, indemnities, letters of comfort or commitment either for itself or on behalf of its subsidiaries or group companies or any third party, or sell, transfer, alienate, charge, mortgage or encumber or deal with the Demerged undertaking, save and except, in each case, in the following circumstances:

i. If the same is in the ordinary course of business as carried on by it as on the date of filing this Scheme with the National Company Law Tribunal (NCLT); or

ii. If the same is expressly permitted by this Scheme; or

iii. If the written consent of the Resulting Company has been obtained; or

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iv. If any pre-existing obligations are undertaken by the Demerged Company prior to the Appointed Date.

9.6. The Demerged Company shall not vary or alter, except in the ordinary course of its business and as may be required for reorganization, the terms and conditions of employment of any of its employees.

9.7. The Resulting Company shall be entitled, pending the sanction of the Scheme by the National Company Law Tribunal (NCLT), to apply to the Central Government and all other agencies, departments and authorities concerned as are necessary under any law for such consents, approvals and sanctions which the Resulting Company may require to own and carry on the business of the Demerged undertaking.

9.8. With effect from the Effective Date, the Resulting Company shall commence and carry on and shall be authorized to carry on the business of the Demerged undertaking earlier carried on by the Demerged Company.

10. REMAINING BUSINESS

10.1. The Remaining business and all the assets, liabilities and obligations pertaining thereto shall continue to belong to and be vested in and be managed by the Demerged Company, subject only to provisions of this Scheme in relation to encumbrances in favor of banks, financial institutions and trustees for the debenture-holders and lenders, if any.

10.2. All legal, taxation or other proceedings (including before any statutory or quasi-judicial authority or tribunal) by or against the Demerged Company under any statute, whether pending on the Appointed Date or which may be instituted at any time thereafter, and in each case relating to the Remaining Business (including those relating to any property, right, power, liability, obligation or duties of the Demerged Company in respect of the Remaining Business) shall be continued and enforced by or against the Demerged Company after the Effective Date. The Resulting Company shall in no event be responsible or liable in relation to any such legal, taxation or other proceedings against the Demerged Company, which relates to the Remaining business.

10.3. If proceedings are taken against the Resulting Company in respect of the matters referred to in Clause 10.2 above, it shall defend the same in accordance with

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the advice of the Demerged Company and at the cost of the Demerged Company, and the latter shall reimburse and indemnify the Resulting Company against all liabilities and obligations incurred by the Demerged Company in respect thereof.

10.4. With effect from the Appointed Date and up to and including the Effective Date:

a) The Demerged Company shall carry on and be deemed to have been carrying on all business and activities relating to the Remaining Business for and on its own behalf;

b) All profits accruing to the Demerged Company thereon or losses arising or incurred by it (including the effect of taxes, if any, thereon) relating to the Remaining Business shall, for all purposes, be treated as the profits or losses, as the case may be, of the Demerged Company;

c) All assets and properties acquired by the Demerged Company in relation to the Remaining Business on and after the Appointed Date shall belong to and continue to remain vested in the Demerged Company; and

d) All assets acquired and all liabilities incurred by the Demerged Company after the Appointed date but prior to the Effected Date for operation of and in relation to the Demerged undertaking shall also without any further act, instrument or deed stand transferred to and vested in or to be deemed to have been transferred to or vested in the Resulting Company upon the coming into effect of the Scheme, subject to the provisions of this Scheme in relation to encumbrances in favor of lenders, banks and /or financial institutions and trustees for the debenture-holders.

PART III – ISSUE OF SHARES

11. ISSUE OF SHARES

11.1. Upon the coming into effect of the Scheme and in consideration of the demerger of the business of 'Sanitization services' of Demerged Undertaking into Resulting Company pursuant to the Scheme, the Resulting Company shall without any further act or deed and without any further payment, issue and allot to each member of the Demerged Company, whose name is recorded in the Register of Members of the Demerged company, on a date (Record Date)to be fixed in that behalf by the Board of Directors of the Demerged Company, Equity shares of the Resulting Company, the share entitlement/allotment ratio as"155 (One Hundred fifty five) equity share in the Resulting Company of the face value of Rs. 10/- (Rupees

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Ten only) each credited as fully paid-up for every 1000 (One thousand) equity shares of Rs.10/- (Rupees Ten only) each fully paid-up held by such member in the Demerged Company."

11.2. The new equity shares to be issued and allotted in terms hereof will be subject to the Memorandum and Articles of association of the Resulting Company.

11.3The Resulting Company shall, if and to the extent required, apply for and obtain any approvals from the concerned regulatory authorities for the issue and allotment by the Resulting Company of the new equity shares to the members of the Demerged Company.

11.4The Resulting Company shall increase its authorized Share Capital to the extent required by duly complying the provisions of Section 13, 14 and Section 61(1) of the Companies Act, 2013 in order to facilitate the post de-merger issue of shares to the shareholders of the Demerged Company as per the clause 11.1 of the Scheme.

11.5. Equity shares to be issued by the Resulting Company pursuant to clause 11.1 of this scheme, shall, pending allotment or settlement of disputes by order of court or otherwise, be held by the trustees appointed by the respective resulting company.

11.6. In case any member's holding in the Demerged Company is such that the member becomes entitled to a fraction of an equity share of the Demerged Company or of the Resulting Company, neither the Demerged Company nor the Resulting Company shall issue fractional share certificates to such members. If the fraction exceeds 0.5, the number of shares to be allotted shall be rounded off to the next digit. If it is equal to or below 0.5, the fraction shall be ignored.

11.8. In the event of there being any pending and valid share transfers, whether lodged or outstanding, of any shareholder of the Demerged Company, the Board of Directors of the Demerged Company shall be empowered in appropriate cases, even subsequent to the Record Date, as the case may be, to effectuate such a transfer in the Demerged Company, as if such changes in registered holder were operative as on the Record Date, in order to remove any difficulties arising to the Demerged Company or Resulting Company, as the case may be, in respect of such shares.

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PART IV – GENERAL TERMS AND CONDITIONS

12. ACCOUNTING TREATMENT

12.1. Treatment in the books of the Demerged Company:

a) Upon the coming into effect of this Scheme, with effect from the Appointed Date, the accounts representing the assets and liabilities of the Demerged Undertaking shall stand closed, on transfer to the Resulting Company. In so far as the accounts representing common or multipurpose borrowings referred to in Clause 4.5 are concerned, they shall stand reduced by the amounts transferred to Resulting Company in accordance with the provisions of this Scheme.

b) The difference between the amount of assets and liabilities so transferred shall be written off against/added to the General Reserve account in the books of account of the Demerged Company.

12.2. Treatment in the books of the Resulting Company:

Upon the coming into effect of this Scheme, the Resulting Company shall record all the assets and liabilities of the Demerged undertaking transferred to it in pursuance of this Scheme at their respective book values thereof appearing in the books of the account of the Demerged Company immediately before the appointed date. It is clarified that in so far as the amounts of common or multipurpose borrowings referred to in Clause 4.5 are concerned, the Resulting Company shall record the same under the same account caption as that used by Demerged Company. Further, the amount arising as an accounting differential for the Resulting Company, on account of the difference between:

a) The amount representing the surplus of assets over liabilities of the Demerged Undertaking recorded in its books of account; and

b) The aggregate of the face value of equity share capital issued by the Resulting Company in terms of Clause 11.1 above, shall be debited/credited to the General Reserve of the Resulting Company. This amount shall be free for distribution as dividend, and shall for all purposes constitute a part of the Free Reserves of the Resulting Company.

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12.3. It is hereby clarified that pursuant to the provisions of Clause 4, all transactions during the period between the Appointed Date and Effective Date relating to the Demerged undertaking would be duly reflected in the financial statements of the Resulting Company, upon the Scheme coming into effect.

13. APPLICATIONS TO NATIONAL COMPANY LAW TRIBUNAL (NCLT)/OTHER AUTHORITY

13.1. The Demerged Company and the Resulting Company respectively shall with all reasonable dispatch, make all necessary applications under Sections 230 to 232 of the Act and other applicable provisions of the Act of the National Company Law Tribunal (NCLT) seeking orders for dispensing with or convening, holding and conducting of and/or dispensing with the meetings of the respective classes of the members and/or creditors of the Demerged Company and the Resulting Company as may be directed by the National Company Law Tribunal (NCLT).

13.2. On the scheme being approved by the requisite majority of the classes of the members and/or creditors of the Demerged Company and the Resulting Company as directed by the National Company Law Tribunal (NCLT), the Demerged Company and the Resulting Company shall, with all reasonable dispatch, apply to the National Company Law Tribunal (NCLT) for sanctioning the Scheme of Arrangement under section 230 to 232 of the Act, and for such other order or orders, as the said National Company Law Tribunal (NCLT) may deem fit for carrying this Scheme into effect.

14. MODIFICATIONS/AMENDMENTS TO THE SCHEME

14.1. The Demerged Company (by its Directors or its Authorized Representative) and the Resulting Company (by its Directors or its Authorized Representative) in their full and absolute discretion may assent to any modification(s) or amendment(s) or any conditions or limitations in this Scheme which either the Board of Directors of the Demerged Company or the Resulting Company, as the case may be or the National Company Law Tribunal (NCLT) or such other appropriate authority and/or any other authorities may deem fit to direct or impose or which may otherwise be considered necessary or desirable for settling any question or doubt or difficulty that may arise for implementing and/or carrying out the Scheme.

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14.2. The Demerged Company (by its Directors or its Authorized Representative) and the Resulting Company (by its Directors or its Authorized Representative) are hereby authorized to give assent to any modification(s) or amendment(s) in the scheme which may be considered necessary or desirable for any reason whatsoever. Without prejudice to the generality of the foregoing, by any modification to the Scheme at any time and for any reason whatsoever, the implementation of the Scheme shall not get adversely affected as a result of acceptance of any such modification by the Board of Directors or its Authorized Representative of the Demerged Company or by the Board of Directors or its Authorized Representative of the Resulting Company, who are hereby authorized to take such steps and to do all acts, deeds and things as may be necessary, desirable or proper to give effect to this Scheme and to resolve any doubt, difficulties or questions whether by reason of any orders of the National Company Law Tribunal (NCLT) or of any directive or orders of any other authorities or otherwise howsoever arising out of, under or by virtue of this Scheme and/or any matters concerning or connected therewith.

15. CONDITIONALITY OF THE SCHEME

The Scheme is conditional upon and subject to:

a) The Scheme being agreed to by the requisite majority of the members and creditors (where ever applicable) of the Demerged Company and the Resulting Company as required under the Act and the requisite sanction and orders of the National Company Law Tribunal,Vijayawada or of such other authority having jurisdiction under law, being obtained; and

b) Such other approval and sanctions including sanction of any Governmental authority, statutory authority as may be required by law in respect of the Scheme being obtained; and

c) The certified copies of the above orders of the National Company Law Tribunal, Vijayawadaor of such other authority having jurisdiction under law being filed with the Registrar of Companies, Vijayawada.

16. COSTS, CHARGES AND EXPENSES

Respective costs, charges and expenses (other than stamp duty and registration charges, if any, of or in respect of any deed, document, instrument or orders of the National Company Law Tribunal, Vijayawadawhich shall be borne by the Resulting

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Company) in relation to or connection with negotiations leading up to this Scheme and of carrying out and implementing the terms and provisions of this Scheme shall be borne and paid by the Resulting Company.

17. REVOCATION AND SEVERABILITY

17.1. In the event of any of the sanctions and approvals referred to in the aforesaid Clause 15 not being obtained and/or complied with and/or satisfied and/or this Scheme not being sanctioned by the National Company Law Tribunal, Vijayawadaor such other appropriate authority, this Scheme shall stand revoked and cancelled and shall be of no effect.

17.2. In the event of the revocation under sub-clause 17.1., no right and liabilities whatsoever shall accrue to or be incurred *inter se*by the Demerged Company and the Resulting Company or their respective shareholders or creditors or employees or any other person save and except in respect of any act or deed done prior thereto as is contemplated here under or as to any right, liability or obligation which has arisen or accrued pursuant thereto and which shall be governed and be preserved or worked out in accordance with the applicable law and in such case, the Resulting Company shall bear all costs incidental to or arising out of such revocation/cancellation of the Scheme.

17.3. If any part of this Scheme is invalid, ruled illegal by any court of competent jurisdiction, or unenforceable under present or future laws, then it is the intention of the parties that such part shall be severable from the reminder of the Scheme, and the entire Scheme shall not be affected thereby, unless the deletion of such part shall cause this Scheme to become materially adverse to any party, in which case the parties shall attempt to bring about such modification in the Scheme as will best preserve for the parties the benefits and obligations of the Scheme, including but not limited to such part.

17.4. The Board of Directors of the Demerged Company and the Resulting Company shall be entitled to revoke, cancel and declare the Scheme to be of no effect, if the Board of Directors are of the view that the coming into effect of the Scheme could have adverse implications on the Demerged Company and/or the Resulting Company respectively even after the Scheme has been sanctioned by the National Company Law Tribunal (NCLT) but before the same has been actually given effect to.

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